Legal tender

Although coins continued as currency, they also changed. Once it became clear that money didn't need any real worth, countries began to make coins of nonprecious metals. These, like banknotes, are worth little, but represent an amount of money, and can be used in exchange for something valuable. The system of using something that is nearly worthless as a means of payment is known as "*fiat* money" (from the Latin *fiat*, meaning "let it be done"), and they are referred to as "legal tender." The value of these coins and notes is declared by the banks or governments that issue them, and is fixed by law in most countries.

> THE PROCESS BY WHICH **BANKS** CREATE **MONEY** IS SO SIMPLE THAT THE MIND IS REPELLED.
>
> JOHN KENNETH GALBRAITH

THE GOLD STANDARD

The gold standard was used by countries to stabilize their currencies by fixing their value to a scarce, valued resource: gold. A currency, such as the dollar, was valued as the same as a certain weight of gold. The government, which held a reserve of gold, issued bills and coins that could then be exchanged for gold on demand.